

many cases the outside trader cannot conveniently go short of the overvalued security, because of the difficulty of borrowing for an indefinite period and the interest problem. Nevertheless those who are holding the issue which is selling too high have every reason in the world for switching into the cheaper security. In the very first article of the present writer to appear in *THE MAGAZINE OF WALL STREET* (in September, 1917), he pointed out that there was no adequate reason for the ten point spread then existing between Japanese $4\frac{1}{2}$ s, "plain" and "German Stamped." The man who exchanged from the former into the latter would now be ahead exactly ten points, since the Stock Exchange has abolished the stamp discrimination entirely as to these bonds, so that they all have exactly the same value.

The latter point is made in order to indicate that the three operations of switching, arbitraging and hedging all have very much in common, and that we may easily pass from one to another. They are all based upon exact information and analysis, and their success is usually entirely independent of market movements. At the present time, when the outlook is so clouded with uncertainty, the trader might well turn his attention for a while to the unspectacular, but safely profitable, business of hedging.